produced domestically, wage pressure induces defensive mechanization ($\hat{\theta}_1 < 0$, Section 4.3). In Chile, where machinery must be imported, wage pressure induces mechanization ($\hat{\theta}_3 = +0.9583$) only while foreign exchange is unconstrained. When reserves collapse, the constraint binds and truncates the choice of technique. The distributive dividend that Okishio's viability condition promises is not unavailable in principle in the periphery; it is unavailable whenever the balance of payments binds.

5 Discussion: The Political Economy of Capacity Utilization in the Center and the Periphery

Section 4 established a structural baseline: the transformation elasticity θ_t sits strictly below unity in both the center and the periphery. Capitalist accumulation exhibits a persistent tendency toward overaccumulation—understood within a single-sector framework as a structural disproportionality between capital accumulation and its transformation into productive capacity. This structural mismatch yields systemic disequilibrium and chronic idle capacity as an enduring byproduct. However, the engine that converts accumulated capital into potential capacity represents only the supply-side dimension of this process; its macroeconomic realization remains mediated through the rate of capacity utilization (μ_t).

While $\theta < 1$ is the shared premise of unbalanced growth, the historical trajectories of μ_t reveal fundamentally distinct crisis formations across the global divide. In the United States, utilization crises stem from the exhaustion of institutional class compromises and the failure of effective demand. In Chile, stagnation and crisis originate in the external truncation of capital-import capacity and the physical strangulation of the productive apparatus. By placing the implicit capacity utilization rates of both economies on a single comparative axis, this section traces how the same underlying condition of overaccumulation manifests as two divergent political-economic realities.

The Relational Dynamics of Idle Capacity. Figure 22 places the reconstructed implicit capacity utilization rates (μ_t) for the U.S. non-financial corporate sector (1931–2024) and the Chilean economy (1940–2010) on a single axis.[17]

[17]The U.S. series is anchored at the 1973 pinch year ($\mu_{1973} = 100\%$), while the Chilean series is anchored at the 1981 full-capacity peak ($\mu_{1981} = 100\%$). Despite differing base years, the absolute levels of μ_t are directly commensurable as measures of the engagement of productive capacity by effective demand and external constraints.

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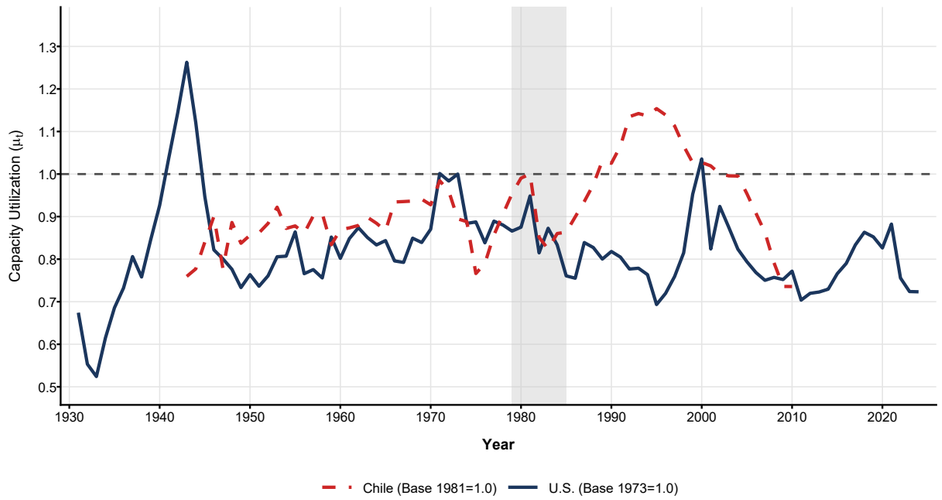
Section 4 established that the transformation elasticity θ_t sits strictly below unity in both the center and the periphery. Within a single-sector framework, the persistent tendency toward overaccumulation is a structural disproportionality between capital accumulation and its transformation into productive capacity, yielding systemic disequilibrium and chronic idle capacity. Capacity formation is the supply-side dimension of this process; its macroeconomic realization remains mediated through the rate of capacity utilization (μ_t).

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Figure 22: The Political Economy of Idle Capacity: Center vs. Periphery (1931–2024)

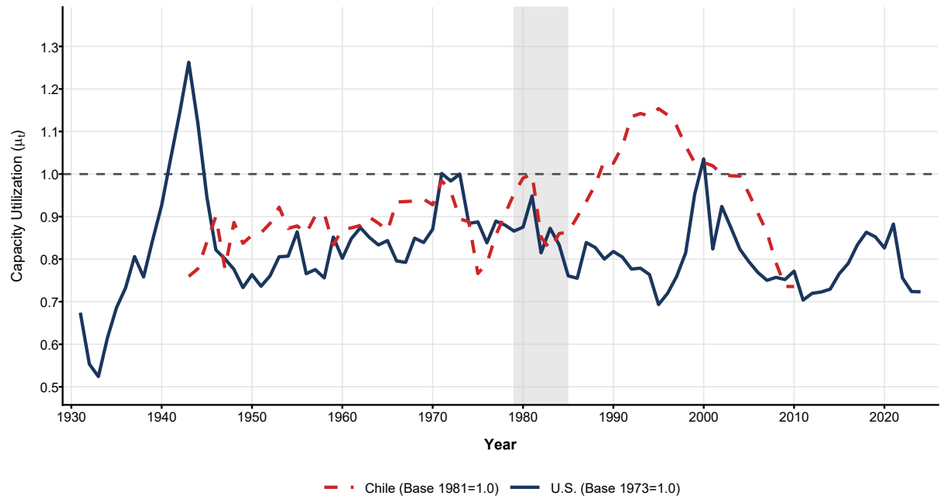


Note: Implicit capacity utilization (μ_t) for the U.S. (solid navy) and Chile (dashed crimson). The shaded band highlights the early 1980s global overaccumulation crisis (1979–1985), resolved via financialization in the center and external subordination in the periphery.

The visual narrative of Figure 22 yields several immediate conclusions. First, neither economy converges toward a normal rate of utilization in the long run ($\mu = 100\%$); persistent idle capacity remains the structural norm of decentralized accumulation. Second, the volatility of μ_t in Chile vastly exceeds that of the United States. Rather than an econometric anomaly, this higher amplitude directly tracks the structural asymmetry between a diversified, reserve-currency center capable of dampening demand swings, and a dependent peripheral formation vulnerable to sudden international liquidity collapses. Because installed gross fixed capital (K_t) represents an immovable physical envelope that cannot vanish during downturns, catastrophic peripheral output collapses—such as the supply shocks of 1975 and the 1982 debt crisis—translate into violent, vertical contractions of utilization. Crucially, the shaded window (1979–1985) captures a global overaccumulation crisis and structural turning point: the Volcker interest-rate shock triggered a severe domestic realization drop in the center ($\mu_{1982} \approx 82\%$) while violently terminating Chile's debt-led boom ($\mu_{1981} = 100\%$), plunging peripheral utilization into a severe macro-historical trough. This global conjuncture was subsequently resolved through radically divergent regime shifts: debt-led financialization in the center, and a violent transition toward neoliberalization and external subordination in the periphery.

The Center: Realization Failure and Intellectual Monopolies. In the United States, the dynamics of μ_t are governed by the continuous mediation of distributive conflict and the shifting composition of capital. Because capital goods are produced domestically, the transformation of accumulation into capacity (θ) is not externally constrained; while stagnation and crisis may have multifaceted causes, they ultimately manifest as an issue of *realization*. Under Atlantic Fordism, the institutionalized class compromise absorbed growing productive capacity via mass consumption

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(Aglietta, 2000). High wage shares, alongside negligible diversion of investment toward intangible assets like intellectual property, meant that consumer demand effectively matched expanding physical capacities, sustaining μ_t within a high, stable corridor (85–105%). While a commitment to full employment, Keynesian policymaking, and demand-inducing militarism masked secular overaccumulation tendencies, distributive conflict exerted cost-minimizing pressures that forced capitalists to engage in mechanization, configuring a contradictory utilization regime.

When the profit squeeze emerged in the late 1960s, μ_t plummeted to 76.2% in 1975 and bottomed at 74.1% in 1982 during the Volcker disinflation. In his seminal decomposition of this postwar U.S. profit rate collapse, Weisskopf (1979) pinned the crisis on the "Rising Strength of Labor" (RSL), treating the "Realization Failure" (RF) variant—a drop in μ_t—as a secondary, survey-driven symptom. Our framework upgrades this insight by revealing that the Federal Reserve Board data black-boxed the physical conversion of accumulation into capacity. Here, μ_t is evaluated as an endogenous residual of θ_t. The Fordist profit squeeze was not just a distributional fight over a fixed pie; it was a structural breakdown in θ_t itself. When effective wage pressure peaked, θ_t collapsed to 0.32. The subsequent plunge in μ_t was the direct macroeconomic footprint of that distributive conflict degrading the capacity-generating power of capital. Post-Fordism dismantled the institutional foundations of wage-led growth to resolve this crisis. Through deunionization and wage suppression, the capitalist class successfully restored profitability. Nevertheless, this structural wage suppression fundamentally undermined the domestic realization of productive capacity over the long run, an effect only partially offset by debt-led consumption (Stockhammer, 2012; Vidal, 2019). Average utilization failed to permanently re-anchor to its Fordist peaks, breaching the 100% benchmark temporarily only during the speculative tech-investment bubble of 2000 ($\mu_{2000} \approx 103\%$). The center's idle capacity stands as a monument to the long-term dynamics of secular stagnation in the aftermath of financialization and its mutation toward the paramount accumulation of intangible assets (Rikap, 2021; Rotta, 2018).

The Periphery: Dual Strangulation and Export Reprimarization. The terminal crisis of the inward-oriented regime in the peripheral Chilean economy cannot be explained by the balance-of-payments constraint alone, nor by the domestic profit squeeze in isolation. As Prebisch (1981) fundamentally articulated, the structural condition of the periphery is defined by its subordinate integration into the global division of labor. Because technological development inherently necessitates imported capital goods (K^{ME}) for late-industrializing economies, peripheral capitalist formations face a rigid structural ceiling: the transformation of accumulation into productive capacity is perpetually subject to the limits of external constraints. However, this external constraint did not operate in a distributive vacuum. Historical analyses of the Chilean developmental state emphasize that early import-substitution industrialization (ISI) was subsidized by a massive rural-to-urban demographic transition, providing an elastic urban reserve army *à la* Lewis (1954) that depressed real wages and temporarily offset chronic foreign exchange shortages (Polanco, 2021). Yet, as this rural surplus was exhausted by the late 1950s, the structural limits of the ISI model were exposed. The urban working class consolidated and distributive conflict intensified, culminating in the aggressive, wage-led redistribution of the *Unidad Popular* (1970–1973).

In a closed economy, the 20-percentage-point surge in the gross wage share—pushing it from roughly 49% in 1970 to a historical peak of 69.03% in 1972—would have simply induced rapid labor-saving mechanization. In the context of peripheral capitalism, however, the internal profit squeeze and the external balance-of-payments constraint locked together. The threshold cointegrating

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model formalizes precisely why this distributive explosion failed to induce mechanization: as the distributive impulse surged, the composite balance-of-payments index plunged deep into the binding domain ($Z_t = -1.06 < \hat{\gamma} = 0.425$). This external constraint effectively truncated the choice of technique. Peripheral capitalists retained the microeconomic incentive to substitute machinery for labor but lost the macroeconomic means to do so. The very success of the working class in capturing a larger share of the surplus increased the import demand for wage-goods, which in turn starved the economy of the foreign exchange required to import capital goods. The macroeconomic cost of this "dual strangulation" is visible in the violent reversal of capacity utilization. When the *Unidad Popular* assumed power, μ_t operated at a constrained baseline of 94.1% in 1969. The initial redistributive boom drove μ_t to an unsustainable cyclical peak of 98.4% in 1971. Stripped of the foreign exchange required to import machinery—exacerbated by credit blockades, capital flight, and the 1972 bosses' lockout (de Vylder, 1976)—the economy shed more than 26 percentage points of utilization in just four years, plunging to roughly 72% by 1975. The unconverted distributive surplus manifested as a blocked surplus, generating structural inflation and severe supply bottlenecks rather than expanding productive capacity.

The post-1975 resolution did not rebuild domestic manufacturing. While the unconstrained international liquidity conditions and copper booms of the 1990s temporarily pushed utilization to hyper-capacity levels ($\mu > 110\%$ during the 1993–1996 peak), leading to overheating and the Asian Crisis during the 1997-1998 period. In the aftermath, trade liberalization and financial opening ultimately locked the accumulation regime into premature de-industrialization and export reprimarization (Palma, 2019). Under the 2000s commodity super-cycle, external solvency was stabilized through primary extractive rents rather than domestic industrial capacity (Torres and Ahumada, 2022; Ahumada et al., 2026); high import leakages and multinational profit repatriation once again depressed capacity utilization to roughly 73% by 2010. From an institutional design standpoint, this trajectory yields a critical lesson: redistributive programs in the periphery cannot succeed in isolation from strategic foreign-exchange regime and monetary policy articulated with effective cross-borders of capital controls (Ffrench-Davis, 2018).

A methodological caveat is in order regarding the threshold classification. The composite index Z_t and the threshold $\hat{\gamma} = 0.425$ are estimated via a deterministic hard classification. This does not model smooth, probabilistic regime shifts; rather, it acts as a binary gate capturing the frequency with which the constraint binds. It effectively captures the "stop-go" shocks of the ISI era and the intra-cycle tightness of the 2000s mining boom, rather than positing a single, clean macro-historical break but without a granularly identification within regimes. Future research requires backward and forward extension of time-series, and exploring other econometrics techniques such as Markov-switching modelling to assign a time-varying threshold for the regime classification . Even within these bounds, however, the hard classification robustly captures the core structural reality: in the periphery, the transformation of accumulation into capacity is discretely severed whenever external solvency collapses. Applying this double-constraint metric to comparative panel datasets across other commodity-dependent or semi-peripheral spaces represents a promising avenue for future research.

Synthesis: Scar Tissue of the Global Divide. This comparative analysis demonstrates that the contemporary political economy of capacity utilization is fundamentally dictated by an economy's position within the global division of labor as originally formulated by Prebisch (1981). In the current stage of *"geriatric capitalism"* (Vidal, 2019), chronic idle capacity is not a mere anomaly, but

incentive to substitute machinery for labor but lost the macroeconomic means. The working class's success in capturing a larger share of the surplus increased import demand for wage-goods, leaving insufficient foreign exchange to import capital goods. The cost of this "dual strangulation" appears in capacity utilization. When the *Unidad Popular* assumed power, μ_t operated at a constrained baseline of 94.1% in 1969. The initial redistributive boom drove μ_t to an unsustainable cyclical peak of 98.4% in 1971. Deprived of the foreign exchange required to import machinery—exacerbated by credit blockades, capital flight, and the 1972 bosses' lockout (de Vylder, 1976)—the economy lost more than 26 percentage points of utilization in just four years, reaching roughly 72% by 1975. The unconverted distributive surplus manifested as a blocked surplus, generating structural inflation and severe supply bottlenecks rather than expanding productive capacity.

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Ultimately, the dead labour embedded in under-utilized productive capacities speaks a distinct language across the scar tissue of the global divide. As crystallized past labour denied the living labour necessary for its valorization, this idle fixed capital represents the past labour of an accumulation regime too frail to sustain its own reproduction. In the center, it stands as a monument to a domestic social contract dismantled in the name of profitability and financialized rent extraction; in the periphery, it remains the quiet casualty of an asymmetrical global order that conditions growth on structural subordination.

6 Conclusion

Capacity utilization has been treated as something an economy reports. This chapter has treated it as something an economy produces. Once the denominator of the ratio is recognized as the outcome of a transformation—accumulated capital becoming usable productive capacity through a choice of technique made under distributive conflict—utilization stops being a primitive and becomes a residual of that transformation. The elasticity θ is what has to be recovered first, and everything the ratio can be made to say depends on recovering it without assuming its value.

The apparatus for that recovery came from two frameworks that had not previously been joined at this point. Okishio's account of decentralized accumulation establishes that private investment commitments generate disproportionality as a structural norm rather than as a friction around proportional reproduction (Okishio, 1961, 2022). Vidal's account of the internally divided firm establishes that the organization converting capital into operating capacity cannot maximize control and cooperation at once, and settles instead into arrangements that sustain production without resolving the conflict inside it (Vidal, 2022, 2019). Together they rule out any automatic passage from accumulation to capacity, which is what makes θ an object with a determinate value worth estimating rather than a parameter to be normalized to one.

The estimates say two things about the center. American capacity formation has stayed strictly below the Harrodian knife-edge across 1931–2024 under both the homogeneous and the heterogeneous capital specification: accumulation persistently outruns the capacity it creates. And the elasticity has drifted upward across the postwar period, from 0.371 in 1960 to 0.429 in 2024, for a reason that does not vindicate the accumulation regime that produced it. Effective wage pressure fell from 0.698 to 0.504 over those decades, partly because the wage share declined and partly because investment migrated into intellectual property, which now exceeds a quarter of fixed capital. A rising transformation elasticity coincided with falling utilization, which stood at 93.8% in 2024 after a trough of 74.1% in 1982. Capital became somewhat better at building capacity precisely as the distributive settlement that would have realized that capacity was dismantled.

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The periphery shows the same relation cut short from outside. For Chile over 1943–2010, a composite balance-of-payments index built from reserve cover and the import-financing gap identifies a threshold at $\hat{\gamma} = 0.425$ by profile likelihood ratio search (Hansen, 2000). In the unconstrained state a rising wage share induces mechanization as cost-minimization predicts, with an estimated interaction of $+3.29$. When the threshold binds, a triple interaction of -3.15 removes nearly all of that response. Chilean capitalists under foreign-exchange rationing keep the incentive to substitute machinery for labor and lose the means, because the machinery is imported. The Unidad Popular period is the clearest case: a twenty-point rise in the gross wage share to $\omega_{1972} = 0.6903$ produced almost no mechanization response, and utilization fell to 0.72 by 1975.